business loan portfolio stigmatized as frauds. Loans to households have a very low default rate.

Credit outstanding at the end of financial year 2020 to real businesses (all loans excluding loans to NBFCs and the retail sector) of Rs 58.51 lakh crore as a proportion of total outstanding credit was 63.5 per cent. If we apply this ratio to total bank credit outstanding at the end of March 2020, banks' outstanding credit to non-financial businesses would be Rs 65.84 lakh crore.

RBI classifies outstanding credit in two big groups: food credit and non-food credit. Outstanding food credit was a measly Rs 0.52 lakh crore with non-food credit amounting to Rs 103.1 lakh crore. It is difficult to understand why bank credit is still presented in two major groups of food credit and non-food credit, when food credit is not even 0.5 per cent of the outstanding bank credit.

Bankers Did Not Lend During Much of Pandemic Period

Provision of credit is the raison d'être of the banking system. Banks primarily source their funds from savers but also create credit. Banks, especially PSBs, have become quite risk-averse in the face of mounting non-performing loans and frauds. Lenders feared another wave of non-performing loans.

Banks and non-bank lenders turned to RBI to help manage mounting non-performing loans, raise additional resources and deal with this grossly unusual situation. RBI allowed the banks to grant a moratorium for three months on servicing loans initially; this was later extended to August 2020. Finally, it announced a liberal scheme for banks to restructure 'COVID-19 affected standard loans'. RBI also opened up a facility for banks to acquire lending resources for periods as long as three years at very low rates: Targeted Long-Term Repo (TLTRO). It reduced the reverse repo rate (where banks park excess cash) to as low as 3.75 per cent to 'force' banks to